Mock PSPM Set 2
ANSWER SCHEME [85 marks]

QUESTION 1 (a) i

Karaji Sdn Bhd
Bank Reconcilation Statement
as at 31 August 2021 √

	RM	RM
Cash Balance per bank statement		30,400 √
Add :- Deposit in transit		6,600 √
		37,000
Less : Outstanding Cheque		
Cheque No 155456	1,300 √	
Cheque No 155457	1,360 √	(2,660)
Adjusted cash balance per bank		**34,340**
Cash balance per cash book		29,790 √
Add : Notes Receivable	4,000 √	
Interest on Notes Receivable	150 √	
Error – Purchases (8,500 – 8,050)	450 √√	4,600
		34,390
Less : Charge Bank		(50)√
Adjusted cash balance per book		**34,340**

(11√ x ½ marks= 5½ marks)

QUESTION 1 (a) ii

Prepared adjusment journal on August 31, 2019.

Date	Particular	Debit	Kredit
2021 Aug. 31√	Bank	4,000 √	
	Notes Receivable		4,000 √
	Bank	150 √	
	Interest Revenue		150 √
	Bank	450 √	
	Purchases		450 √
	Bank Service Charges	50 √	
	Bank		50 √

(9√ x ½ marks= 4½ marks)

QUESTION 1 (b) i

Prepare journal entries to record the transaction above and adjustments.

Date	Particular	Debit	Credit
2021 Dec 31	Accounts Receivable (180,000 x 80%) Sales	144,000 √√	 144,000 √
	Bank/Cash Accounts Receivable	110,000 √	 110,000 √
	Allowance For Doubtful Accounts Accounts Receivable	200 √	 200 √

(7√ x ½ marks = 3½ marks)

QUESTION 1 (b) ii

Accounts Receivable

Balance	b/f	53,200√	Bank/Cash		110,000√
Sales		144,000√	Allowance for Doubtful Acc.		200√
			Balance	c/f	87,000√
		197,200			197,200

Allowance for Doubtful Accounts

Accounts Receivable		200√	Balance	b/f	550√
Balance (RM87,000 x 1%)	c/f	870√√	Bad Debts Expense		520√
		1,070			1,070

(10√ x ½ marks= 5 marks)

QUESTION 1 (b) iii

Date	Particular	Debit	Credit
2021 Dec 31√	Bad Debt Expense Allowance For Doubtful Accounts	520√	 520√

(3√ x ½ marks= 1½ marks)
(Total = 20 marks)

QUESTION 2 (20 marks)

(i) First-in-First-out Method

Date	Purchases			COGS			Balance		
	Unit	Cost	Total	Unit	Cost	Total	Unit	Cost	Total
Sept 1							12	550	6,600 √
4	10	560	5,600				12	550	6,600
							10	560	5,600 √
7				11	550	6,050 √	1	550	550 √
							10	560	5,600
10	10	570	5,700				1	550	550
							10	560	5,600
							10	570	5,700 √
12				1	550	550 √	3	560	1,680 √
				7	560	3,920 √	10	570	5,700
13	6	570	3,420				3	560	1,680
							10	570	5,700
							6	570	3,420 √
19				3	560	1,680 √	5	570	2,850 √
				5	570	2,850 √	6	570	3,420
21				5	570	2,850 √	4	570	2,280 √
				2	570	1,140 √			
23	5	580	2,900				4	570	2,280
							5	580	2,900 √
26				2	570	1,140 √	2	570	1,140 √
							5	580	2,900
28	5	580	2,900				2	570	1,140
							5	580	2,900
							5	580	2,900 √
30				2	570	1,140 √	**4**	**580**	**2,320**
				1	580	580 √	**5**	**580**	**2,900**
				COGS		**21,900**	**Cost of ending inv.**		**5,220**

(21 √ x ½ marks = 10½ marks)

(ii) Moving Average method

Date	Purchases			COGS			Balance		
	Unit	Cost	Total	Unit	Cost	Total	Unit	Cost	Total
Sept 1							12	550	6,600 √
4	10	560	5,600 √				22	554.55	12,200 √
7				11	554.55	6,100.05 √	11		6,099.95 √
10	10	570	5,700 √				21	561.90	11,799.95
12				8	561.90	4,495.20 √	13		7,304.75 √
13	6	570	3,420 √				19	564.46	10,724.75
19				8	564.46	4,515.68 √	11	564.46	6,209.07 √
21				7	564.46	3,951.22 √	4	564.46	2,257.85 √
23	5	580	2,900 √				9	573.09	5,157.85
26				2	573.09	1,146.18 √	7		4,011.67 √
28	5	580	2,900 √				12	575.97	6,911.67
30				3	575.97	1,727.91 √	9		5,183.76 √
				COGS		**21,936.19**	**Inv. Cost**		**5,183.76**

(19 √ x ½ marks= 9½ marks)
(Total = 20 marks)

QUESTION 3 (20 marks)

i. Prepare journal entry to record the purchased and the disposal of the assets.

Date	Particular	Debit	Credit
2021 Aug. 1	Vehicles Bank	70,000 √	70,000√
Sept. 15	Office Equipment Bank	20,000 √	20,000√
Oct. 1	Vehicles (new) Accumulated Depreciation - Vehicles Vehicles (old) Gain on Disposal Bank	80,000 √ (a)60,000√√√	100,000√ (b)5,000√√√ (c)35,000√√
Dec. 1	Office Equipment Bank	5,000 √	5,000√

(a)100,000 x 20% x 3yrs = 60,000
(b)45,000 – [(100,000 – 60,000)] = 5,000 (gain)
(c)80,000 – 45,000 = 35,000

(16√ x ½ marks = 8 marks)

ii. Prepare journal entry to record the depreciation of the assets at the end of accounting period.

Date	Particular	Debit	Credit
Dec. 31	Depreciation Expense - Vehicles Accumulated Depreciation - Vehicles	(a)50,000√√√√√	50,000√
	Depreciation Expense – Off. Equipment Accumulated Depreciation – Off. Equipment	(b)8,260√√√√√	8,260√

(a)(200,000 + 70,000 + 80,000 – 100,000) x 20% = 50,000
(b)[(64,000 – 6,400) + 20,000 + 5,000] x 10% = 8,260

(12√ x ½ marks= 6 marks)

iii. Prepare the extraction of Statement of Financial Position as at 31 December 2021

Nasawi Sdn Bhd
Extracted Statement of Financial Position (extracted)
as at 31 December 2021

NON CURRENT ASSET		
Vehicles (200,000 + 70,000 + 80,000 – 100,000)	250,000 √√√√	
(-) Accumulated Depreciation – Vehicles (80,000 – 60,000 + 50,000)	(70,000) √√√	180,000
Office Equipment (64,000 + 20,000 + 5,000)	89,000 √√√	
(-) Accumulated Depreciation – Off. Eq. (6,400 + 8,260)	(14,660) √√	74,340
TOTAL		**254,340**

(12√ x ½ marks= 6 marks)
(Total = 20 marks)

QUESTION 4 (a)

i)

Date	Particular	Debit	Credit
2021 Jan 1	Bank Loan	40,000√	40,000√
	Bank Notes Payable, 12%	25,000√	25,000√

ii)

Date	Particular	Debit	Credit
2021 Aug. 1	Bank (1,000 x RM500) Bonds Payable, 6%	500,000√√	500,000√

iii)

Date	Particular	Debit	Credit
2021 Dec 31	Interest Expense Interest Payable	19,500√√√√√√√	19,500√

(RM40,000 x 10%) + (RM25,000 x 12%) + (RM500,000 x 6% x 5/12)

iv)

Date	Particular	Debit	Credit
2021 Jan 31	Interest Payable (RM500,000 x 6% x 5/12) Interest Expense ((RM500,000 x 6% x 1/12) Bank	12,500√√√ 2,500√√√	15,000√

(22√ x ½ marks = 11 marks)

QUESTION 4 (b)

SERI IPOH BERHAD
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2021√

	Ordinary share	**Preference share**	**Retained earning**	**TOTAL**
Beginning balance	1,000,000√	1,000,000√	5,678,900√	7,678,900
Net profit			(a)1,051,480√√√	1,051,480
Shares issued	(b)600,000√√	(c)500,000√√		1,100,000
Dividends paid			(280,000) √	(280,000)
Ending balance	1,600,000√	1,500,000√	6,450,380√	9,550,380

(a) 6,450,380 + 280,000 – 5,678,900 = 1,051,480
(b) 1,600,000 – 1,000,000 = 600,000
(c) 1,500,000 – 1,000,000 = 500,000

(15√ x ½ marks = 7½ marks)

QUESTION 4 (c)

JOAN GROCER ENTERPRISE **STATEMENT OF CHANGES IN EQUITY** **FOR THE YEAR ENDED 31 DECEMBER 2020√**	
	(RM)
Capital, 1 January 2020	122,000√
+ Net Profit	212,000√
Additional investment (3,500 + 12,000)	15,500√√
	349,500
Less: Drawings	(62,000)√
Capital, 31 December 2020	287,500√

JOAN GROCER ENTERPRISE **STATEMENT OF CHANGES IN EQUITY** **FOR THE YEAR ENDED 31 DECEMBER 2021√**	
	(RM)
Capital, 1 January 2021	287,500√
+ Net Profit	188,000√
Additional investment	100,000√
	575,500
Less: Drawings	(85,000) √
Capital, 31 December 2021	490,500√

(13√ x ½ marks = 6½ marks)
(Total = 25 marks)